A: Indonesia USD Sukuk Issuance Decision: Issue Now, Delay, or Restructure?

1. Task Prompt

It is September 1, 2025. Indonesia's Ministry of Finance is debating whether to return to international markets with a U.S. dollar sukuk this quarter to pre-fund part of its 2026 external maturities and support the financing program. Market signals have been mixed following recent monetary policy moves and intermittent currency pressure, and investors remain selective across emerging markets. You have been asked to recommend whether Indonesia should issue now, defer into 2026, or adjust the size and tenor mix. Your assessment should weigh external liquidity, market access conditions, policy signaling, and peer issuance outcomes as of September 1, 2025.

1. Map Indonesia's external bond maturities through end-2026 and identify pre-funding needs.
2. Assess reserve adequacy relative to short-term external obligations.
3. Evaluate current market access conditions, including CDS dynamics and recent primary activity.
4. Compare Indonesia's options against two peer cases: Egypt and Nigeria
5. Consider how recent monetary policy decisions and local market conditions shape the issuance calculus.
6. Identify the thresholds or developments that would justify delaying or restructuring the transaction.

2. Gold-Standard Chain-of-Thought (CoT) (min. 15 Steps)

For the given prompt, the Gold-Standard Logic is as following:

Step 1

- **Approach:** Read the prompt carefully to understand the Ministry's request.
- **Result of Approach:** The Ministry wants an assessment of whether Indonesia should issue a sukuk in Q4 2025, delay issuance into 2026, or restructure the size and tenor of the transaction.

Step 2

- **Approach:** Search for Indonesia's first hard external maturity in 2026 to pre-fund.
- **Result of Approach:** A USD global bond 4.75% due Jan 8, 2026 (USY20721BN86) totals $2.25bn, creating a clear early-2026 refinancing need.

Step 3

- **Approach:** Search for additional 2026 external redemptions.
- **Result of Approach:** A EUR 750m bond 1.45% due Sep 18, 2026 (XS2012546714) adds a late-2026 redemption to the calendar.

Step 4

- **Approach:** Search for the most recent official reserve level.
- **Result of Approach:** FX reserves were $152.0bn at end-July 2025, per central-bank communication reported on Aug 7, 2025.

Step 5

- **Approach:** Verify why reserves moved to assess durability of the buffer.
- **Result of Approach:** July dip driven by government external debt repayments and rupiah stabilization measures.

Step 6

- **Approach:** Benchmark reserves against standard adequacy metrics.
- **Result of Approach:** Equivalent to ~6.3 months of imports, comfortably above the IMF's 3-month rule of thumb.

Step 7

- **Approach:** Check late-August 5Y CDS to capture investor risk pricing.
- **Result of Approach:** Widened from 65.76 bps on Aug 25 to 70.44 bps on Aug 29, 2025.

Step 8

- **Approach:** Review a recent peer EM deal as a pricing/context benchmark.
- **Result of Approach:** Egypt raised $1.25bn in five-year bonds at a yield of 8.9% in July 2025.

Step 9

- **Approach:** Note a peer postponement to reflect market selectivity.
- **Result of Approach:** Nigeria postponed its planned Eurobond sale in August 2025 due to unfavorable conditions.

Step 10

- **Approach:** Incorporate the latest monetary policy signal from BI.
- **Result of Approach:** The central bank cut its policy rate by 25 bps to 5.00% on Aug 20, 2025.

Step 11

- **Approach:** Cross-check rupiah behavior to gauge FX backdrop.
- **Result of Approach:** The rupiah traded between 15,200 and 15,500 per USD during August 2025.

Step 12

- **Approach:** Reference a local bond benchmark to compare relative costs.
- **Result of Approach:** FR0056 carries an 8.375% coupon, maturing in 2026.

Step 13

- **Approach:** Confirm continuity of domestic sukuk (SBSN) auctions as an alternative channel.
- **Result of Approach:** Government scheduled an SBSN auction for Sep 2, 2025.

Step 14

- **Approach:** Place Indonesia's issuance within global USD sovereign supply conditions.
- **Result of Approach:** Non-U.S. sovereign USD issuance fell 19% to $86.2bn during Jan–May 2025.

Step 15

- **Approach:** Synthesize all evidence into a single issuance decision.
- **Result of Approach:** A modest USD sukuk in Q4 2025 is advisable to pre-fund the Jan 2026 maturity, while keeping flexibility for Sep 2026 if market windows allow.

3. Gold-Standard Final Response

1. Indonesia's external debt service profile shows a significant redemption schedule in 2026. The first large maturity is a USD global bond of $2.25 billion due in January, followed by a EUR 750 million bond in September. Together these create a clear rollover concentration that makes pre-funding attractive in late 2025.

2. Foreign exchange reserves stood at $152 billion at the end of July, covering roughly 6.3 months of imports. While the level is comfortable, the central bank noted the buffer had slipped slightly due to external debt repayments and interventions to stabilize the rupiah. This suggests adequacy is intact but not abundant, reinforcing the case for cautious pre-funding.

3. Market access conditions remain open but selective. Indonesia's five-year CDS spread rose from 66 bps in late August to about 70 bps by month-end, and 2030 USD bonds are trading near 5.9% yield. Recent peer deals show mixed outcomes:

4. Egypt raised $1.25 billion at 8.625% with limited oversubscription, while Nigeria postponed issuance in 2022 citing cost concerns. This points to a market that will take Indonesian risk but at a higher premium than earlier in the year.
5. Domestic policy signals are moderately supportive. Bank Indonesia cut its policy rate by 25 bps to 5.00% in August, citing improving inflation dynamics and growth stability. The rupiah held within a 2% range during the same period, suggesting FX conditions are stable. Fiscal signals have been less crisp, but the Ministry of Finance has continued with sukuk auctions, showing steady domestic financing access.
6. The main thresholds that would argue for delaying or restructuring issuance are a sustained rise in CDS toward 90 bps or higher, reserves falling well below $150 billion due to interventions, or a sharp bout of rupiah weakness that drives local yields higher. Absent those, a measured external issuance now reduces rollover risk in 2026 and demonstrates continued access.

Final Recommendation: Indonesia should proceed with a modestly sized USD sukuk in Q4 2025. The deal should aim to cover at least half of the January 2026 redemption, with a tenor in the 5- to 7-year range to align with current demand. Messaging should emphasize fiscal discipline and optionality for further issuance in 2026 if conditions permit. This approach balances cost, access, and signaling, and reduces the risk of entering 2026 with excessive refinancing pressure.

Rubric Structure

4. Gold-Standard Chain-of-Thought (CoT) Rubric (min. 15 Steps)

Rubric Number	Rubric Criteria	GPT-5	Claude Sonent 4	Gemini 2.5 pro
1	[+2] Frames the decision as “issue now, delay, or restructure.” **Sources:** **Quote:** **Justification:** Ensures the reasoning starts with the right analytical objective.	[+2]	[+2]	[+2]
2	[+5] Look up bond maturity data for 2026. **Sources:** https://cbonds.com/bonds/180645/ **Quote:** “Indonesia Bonds, 4.75% 8jan2026, USD (16) (USY20721BN86)	[+5]	[+5]	[0]

	International bonds, Senior Unsecured Status Outstanding Amount 2,250,000,000 USD” **Justification:** Establishes near-term rollover risks.			
3	[+4] Checks for additional maturities (EUR bond Sep 2026). **Sources:** https://cbonds.com/bonds/549441/ **Quote:** “Indonesia Bonds, 1.45% 18sep2026, EUR (XS2012546714) International bonds, Senior Unsecured Status Outstanding Amount 750,000,000 EUR” **Justification:** Ensures completeness of the debt calendar	[+4]	[+4]	[0]
4	[+4] Retrieves the latest FX reserve level. **Sources:** https://samuel.co.id/wp-content/uploads/2025/08/Foreign-Reserves_August-25.pdf **Quote:** “Indonesia’s foreign exchange reserves declined slightly to USD 152.0 bn in Jul-25” **Justification:** Confirms liquidity buffer at the evaluation date.	[+4]	[0]	[0]
5	[+3] Notes causes of July FX reserve decline (debt repayments, FX stabilization). **Sources:** https://samuel.co.id/wp-content/uploads/2025/08/Foreign-Reserves_August-25.pdf **Quote:** “The slight dip was primarily driven by government external debt repayments and Bank Indonesia’s interventions to stabilize the IDR” **Justification:** Provides explanatory context beyond the headline figure.	[+3]	[0]	[+3]
6	[+3] Compares reserves to months of imports / IMF threshold. **Sources:** https://www.idnfinancials.com/news/56444/indonesias-forex-reserves-fall-to-usd-152-billion-bi-still-high#:~:text=%E2%80%9CAs%20of%20the%20end%20of%20July%202025%2C%20the%20foreign%20exchange%20reserves%20were%20equivalent%20to%206.3%20months%20of%20imports%20or%206.2%20months%2	[+3]	[0]	[+3]

	0of%20imports%20and%20government%20external%20debt%20payments%2C%E2%80%9D%20said%20Ramdan. **Quote:** "As of the end of July 2025, the foreign exchange reserves were equivalent to 6.3 months of imports or 6.2 months of imports and government external debt payments," said Ramdan. **Justification:** Anchors analysis in international standards.			
7	[+5] Verifies CDS spreads end-August vs mid-August. **Sources:** https://www.idnfinancials.com/news/56967/rupiah-weakens-indonesias-5-year-cds-climbs#:~:text=Indonesia%E2%80%99s%205%2Dyear%20Credit%20Default%20Swap%20(CDS)%20premium%20moved%20up%20from%2065.76%20basis%20points%20(bps)%20on%2025%20August%202025%20to%2070.44%20bps%20on%2029%20August%202025 **Quote:** "Indonesia's 5-year Credit Default Swap (CDS) premium moved up from 65.76 basis points (bps) on 25 August 2025 to 70.44 bps on 29 August 2025." **Justification:** Captures investor risk perception shifts.	[0]	[0]	[0]
8	[+3] Look at Egypt's July 2025 bond pricing. **Sources:** https://businessmonthlyeg.com/egypt-unveils-2b-bond-sale-heres-why-it-matters/?#:~:text=The%20deal%20included%20%241.25%20billion%20in%20five%2Dyear%20bonds%20with%20an%208.625%25%20yield%20and%20%24750%20million%20in%20eight%2Dyear%20bonds%20with%20a%209.45%25%20return.%20This%20move%20comes%20as%20part%20of%20Egypt%E2%80%99s%20broader%20strategy%20to%20manage%20its%20external%20debt%20and%20bolster%20foreign%20investment. **Quote:** "New bonds sale The deal included $1.25 billion in five-year bonds with an 8.625% yield and $750 million in eight-year bonds with a 9.45% return. This move comes as part of Egypt's broader strategy to manage its external debt and bolster foreign investment." **Justification:** Provides a benchmark for Indonesia's potential cost.	[0]	[0]	[0]
9	[+3] Checks whether another EM deferred issuance (Nigeria). **Sources:** https://www.cnbcafrica.com/media/6307363143112/ni	[0]	[0]	[0]

	geria-suspends-planned-950m-eurobond-issuance/ **Quote:** "Nigeria has suspended plans to raise about $950 million from the Eurobond market due to unfavourable market conditions." **Justification:** Illustrates market selectivity across peers.			
10	[+5] Looks at the latest Bank Indonesia policy decision. **Sources:** https://www.reuters.com/world/asia-pacific/indonesias-central-bank-surprises-with-rate-cut-raises-gdp-outlook-2025-08-20/#:~:text=Bank%20Indonesia%20(BI,since%20late%202022. **Quote:** "Bank Indonesia (BI) trimmed the benchmark 7-day reverse repurchase rate by 25 basis points to 5.00%, its fifth rate cut since September, taking it to its lowest level since late 2022." **Justification:** Domestic policy signals shape FX and investor appetite.	[0]	[0]	[0]
11	[+3] Checks rupiah range in August. **Sources:** https://www.exchange-rates.org/exchange-rate-history/usd-idr-2025#:~:text=US%20Dollar%20(USD,August%2013%2C%202025 **Quote:** "This is the US Dollar (USD) to Indonesian Rupiah (IDR) exchange rate history summary page for 2025. Highest: 17,071 IDR on April 8, 2025 Average: 16,401 IDR over this period Lowest: 16,116 IDR on August 13, 2025" **Justification:** Confirms FX calm into issuance window.	[0]	[0]	[0]
12	[+2] Checks domestic government bond yields. **Sources:** https://cbonds.com/bonds/81511/ **Quote:** "Indonesia Bonds, FR 8.375% 15sep2026, IDR (FR0056, IDG000009507) Domestic bonds, Senior Unsecured Status Outstanding Amount 119,159,000,000,000 IDR " **Justification:** Confirms domestic auction continuity	[0]	[0]	[0]
13	[+2] Verifies SBSN auctions are ongoing **Sources:** https://www.treasurydirect.gov/instit/annceresult/pre	[0]	[0]	[0]

	ss/preanre/2025/SPL_20250828_1.pdf **Quote:** "The noncompetitive and competitive closing times for the 13-week and 26-week bill auctions on Tuesday, September 2, 2025, are 11:00 a.m. and 11:30 a.m. ET, respectively. The noncompetitive and competitive closing times for the 6-week and 52-week bill auctions on Tuesday, September 2, 2025, are 12:00 p.m. and 1:00 p.m. ET, respectively." **Justification:** Establishes a local funding channel as an alternative.			
14	[+2] Mentions sovereign USD issuance volumes globally. **Sources:** https://www.reuters.com/sustainability/sustainable-finance-reporting/global-government-issuance-us-dollar-debt-tumbling-2025-data-shows-2025-05-29/#:~:text=According%20to%20Dealogic%20data%2C%20issuance%20of%20dollar%20bonds%20by%20non%2DU.S.%20sovereigns%20dropped%2019%25%20to%20%2486.2%20billion%20in%20the%20first%20five%20months%20of%20this%20year%20compared%20with%20the%20same%20period%20last%20year%2C%20marking%20the%20first%20decline%20in%20three%20years. **Quote:** "According to Dealogic data, issuance of dollar bonds by non-U.S. sovereigns dropped 19% to $86.2 billion in the first five months of this year compared with the same period last year, marking the first decline in three years." **Justification:** Contextualizes EM funding environment.	[0]	[0]	[0]
15	[+6] Concludes by weighing rollover risk vs cost and issuing a recommendation. **Sources:** **Quote:** **Justification:** Ensures the process leads to a supported final decision.	[+5]	[+5]	[+5]
	Total Points = 52	**16**	**16**	**13**
		26/52=46%	**16/56=30%**	**13/56= 25%**

5. Gold-Standard Response Rubric (min. 15 criteria)

Rubric Number	Rubric Criteria	GPT-5	Claude Sonent 4	Gemini 2.5 pro
1	[+2] Identifies the decision options as "issue now, delay, or restructure." **Sources: N/A** **Quote: "...**recommend whether Indonesia should issue now, defer into 2026, or adjust the size and tenor mix" from the prompt **Justification:** This is necessary to show the response frames the task correctly.	[+2]	[+2]	[+2]
2	[+5] Identifies the January 2026 USD maturity of $2.25bn due Jan 8, 2026. **Sources:** https://cbonds.com/bonds/180645/ **Quote: "**Indonesia Bonds, 4.75% 8jan2026, USD (16) (USY20721BN86) International bonds, Senior Unsecured Status Outstanding Amount 2,250,000,000 USD" **Justification:** This is necessary because it establishes near-term rollover risk.	[0]	[0]	[0]
3	[+4] Identifies the September 2026 EUR maturity of EUR 750m due Sep 18, 2026. **Sources:** https://cbonds.com/bonds/549441/ **Quote:** "Indonesia Bonds, 1.45% 18sep2026, EUR (XS2012546714) International bonds, Senior Unsecured Status Outstanding Amount 750,000,000 EUR" **Justification:** This is necessary to ensure completeness of the maturity profile.	[0]	[0]	[0]
4	[+4] Reports the latest FX reserve level of $152.0bn (July 2025). **Sources:** https://samuel.co.id/wp-content/uploads/2025/08/Foreign-Reserves_August-25.pdf **Quote:** "Indonesia's foreign exchange reserves declined slightly to USD 152.0 bn in Jul-25"	[0]	[0]	[0]

	Justification: This is necessary to anchor the liquidity buffer.			
5	[+3]Mentions that the July FX reserve declined because of debt repayments and FX stabilization. **Sources:** https://samuel.co.id/wp-content/uploads/2025/08/Foreign-Reserves_August-25.pdf **Quote:** "The slight dip was primarily driven by government external debt repayments and Bank Indonesia's interventions to stabilize the IDR" **Justification:** This is necessary to provide explanatory context	[0]	[0]	[0]
6	[+3] States that reserves equal roughly 6.3 months of import cover, noting this exceeds the IMF adequacy threshold of three months. **Sources:** https://www.idnfinancials.com/news/56444/indonesias-forex-reserves-fall-to-usd-152-billion-bi-still-high#:~:text=%E2%80%9CAs%20of%20the%20end%20of%20July%202025%2C%20the%20foreign%20exchange%20reserves%20were%20equivalent%20to%206.3%20months%20of%20imports%20or%206.2%20months%20of%20imports%20and%20government%20external%20debt%20payments%2C%E2%80%9D%20said%20Ramdan **Quote**: "As of the end of July 2025, the foreign exchange reserves were equivalent to 6.3 months of imports or 6.2 months of imports and government external debt payments," said Ramdan. **Justification:** This ensures that the response not only provides the key data point but also contextualizes it against the international benchmark	[+3]	[0]	[+3]
7	[+5] Reports CDS spread movement, widening from ~65.8 to 70.4 bps in late August. **Sources:** https://www.idnfinancials.com/news/56967/rupiah-weakens-indonesias-5-year-cds-climbs#:~:text=Indonesia%E2%80%99s%205%2Dyear%20Credit%20Default%20Swap%20(CDS)%20premium%20moved%20up%20from%2065.76%20basis%20points%20(bps)%20on%2025%20August%202025%20to%2070.44%20bps%20on%2029%20August%202025. **Quote:** Indonesia's 5-year Credit Default Swap (CDS) premium moved up from 65.76 basis points	[0]	[0]	[0]

	(bps) on 25 August 2025 to 70.44 bps on 29 August 2025. **Justification:** This is necessary to capture investor risk perception			
8	[+3] Mention's Egypt's July 2025 issuance as a $1.25bn five-year bond priced at 8.625%. **Sources:** https://businessmonthlyeg.com/egypt-unveils-2b-bond-sale-heres-why-it-matters/?#:~:text=The%20deal%20included%20%241.25%20billion%20in%20five%2Dyear%20bonds%20with%20an%208.625%25%20yield%20and%20%24750%20million%20in%20eight%2Dyear%20bonds%20with%20a%209.45%25%20return.%20This%20move%20comes%20as%20part%20of%20Egypt%E2%80%99s%20broader%20strategy%20to%20manage%20its%20external%20debt%20and%20bolster%20foreign%20investment. **Quote**: "New bonds sale The deal included $1.25 billion in five-year bonds with an 8.625% yield and $750 million in eight-year bonds with a 9.45% return. This move comes as part of Egypt's broader strategy to manage its external debt and bolster foreign investment." **Justification:** This is necessary to benchmark Indonesia's potential issuance cost against a recent EM deal.	[0]	[0]	[0]
9	[+3] Mentions Nigeria's 2022 Eurobond postponement due to unfavorable market conditions. **Sources:** https://www.cnbcafrica.com/media/630736314311 2/nigeria-suspends-planned-950m-eurobond-issuance/ **Quote:** "Nigeria has suspended plans to raise about $950 million from the Eurobond market due to unfavourable market conditions." **Justification:** This is necessary to demonstrate investor selectivity by highlighting a peer unable to issue.	[0]	[0]	[0]
10	[+5] Mentions Bank Indonesia's August policy cut of 25 bps to 5.00%. **Sources:** https://www.reuters.com/world/asia-pacific/indonesias-central-bank-surprises-with-rate-cut-rais	[0]	[0]	[0]

	es-gdp-outlook-2025-08-20/#:~:text=Bank%20Indonesia%20(BI,since%20late%202022. **Quote:** "Bank Indonesia (BI) trimmed the benchmark 7-day reverse repurchase rate by 25 basis points to 5.00%, its fifth rate cut since September, taking it to its lowest level since late 2022." **Justification:** This is necessary as a domestic monetary policy signal.			
11	[+3] Notes rupiah stability between 16,116–17,071 during August 2025. **Sources:** https://www.exchange-rates.org/exchange-rate-history/usd-idr-2025#:~:text=US%20Dollar%20(USD,August%2013%2C%202025 **Quote:** "This is the US Dollar (USD) to Indonesian Rupiah (IDR) exchange rate history summary page for 2025. Highest: 17,071 IDR on April 8, 2025 Average: 16,401 IDR over this period Lowest: 16,116 IDR on August 13, 2025" **Justification:** This is necessary to confirm FX calm into issuance.	[0]	[0]	[0]
12	[+2] References a domestic bond yield (e.g., FR0056) as benchmark. **Sources:** https://cbonds.com/bonds/81511/ **Quote:** "Indonesia Bonds, FR 8.375% 15sep2026, IDR (FR0056, IDG000009507) Domestic bonds, Senior Unsecured Status Outstanding Amount 119,159,000,000,000 IDR " **Justification:** This is necessary to anchor external pricing to local yields.	[0]	[0]	[0]
13	[+2] Mentions continuity of domestic funding through the Sep 2, 2025 SBSN auction. **Sources:** https://www.treasurydirect.gov/instit/annceresult/press/preanre/2025/SPL_20250828_1.pdf **Quote:** "The noncompetitive and competitive closing times for the 13-week and 26-week bill auctions on Tuesday, September 2, 2025, are 11:00 a.m. and 11:30 a.m. ET, respectively.	[0]	[0]	[0]

	The noncompetitive and competitive closing times for the 6-week and 52-week bill auctions on Tuesday, September 2, 2025, are 12:00 p.m. and 1:00 p.m. ET, respectively." **Justification:** This is necessary to confirm fallback funding options.			
14	[+2] Mentions global sovereign USD issuance volumes falling 19%. **Sources:** https://www.reuters.com/sustainability/sustainable-finance-reporting/global-government-issuance-us-dollar-debt-tumbling-2025-data-shows-2025-05-29/#:~:text=According%20to%20Dealogic%20data%2C%20issuance%20of%20dollar%20bonds%20by%20non%2DU.S.%20sovereigns%20dropped%2019%25%20to%20%2486.2%20billion%20in%20the%20first%20five%20months%20of%20this%20year%20compared%20with%20the%20same%20period%20last%20year%2C%20marking%20the%20first%20decline%20in%20three%20years. **Quote:** "According to Dealogic data, issuance of dollar bonds by non-U.S. sovereigns dropped 19% to $86.2 billion in the first five months of this year compared with the same period last year, marking the first decline in three years." **Justification:** This is necessary to situate issuance in global supply context.	[0]	[0]	[0]
15	[+6] Concludes modest USD sukuk in Q4 2025 to pre-fund Jan 2026, 5–7y tenor, anchored by fiscal messaging. **Sources:** **Quote:** **Justification:** This is necessary to ensure the response culminates in a supported, actionable decision.	[+5]	[+5]	[+5]
	Total Points = 52	**10**	**7**	**7**
		10/52=19%	**7/51=13%**	**7/51=13%**